FX Daily: Looking for a new steady state for the dollar

Having sold off on Friday on news that the Strait of Hormuz is 'completely open', the dollar has come back a little bid on more tough talk between the US and Iran, plus the US Navy's seizure of an Iranian cargo ship. Investors seem happy to focus on a resolution to this crisis, but we think it is too soon to expect the resumption of the broad dollar bear trend

We're not in the camp looking for an immediate return of the benign dollar decline that characterised the start of the year

USD: Searching for a new steady state

Friday's headline from Iranian authorities that the Strait of Hormuz was 'fully open' gave us a vision of where the dollar could be trading were this crisis over. That equated to around the 97.50/98.00 area in DXY and just over 1.18 in EUR/USD. In our April release of FX Talking, we expect the dollar to stray not too far from those levels for the remainder of the quarter.

In terms of the immediate focus, the question is whether investors will receive further positive news on renewed peace talks in Pakistan, or whether both sides will talk tough and potentially act tougher ahead of tomorrow's deadline on the two-week ceasefire. Today's benchmark of any progress will probably be whether Iran sends any negotiators to peace talks, now that US representatives are already on their way there. The mood music of markets is one of concern, but one that sees progress towards a resolution.

The stop-start nature of peace talks does focus attention on when energy flows can fully restart and whether high oil prices will start to seep into other areas of the economy. We note another good speech from the Federal Reserve's Christopher Waller, released on Friday ahead of the Fed's blackout period. The speech was entitled 'One Transitory Shock After Another'. Recall that Waller voted for a cut in January, and the point he is making now is that the longer energy prices stay high, the greater the risk that this oil shock adds to the tariff shock and de-anchors inflation expectations. For him, the 5-10 year US inflation expectations derived through the 5Y5Y inflation swap look important. From a low point near 2.30% at the end of March, these are now trading at 2.41%. Any move to the 2.70/2.80% area, as seen in early 2022, could well call time on any hopes of Fed easing this year.

On the subject of the Fed and looking ahead this week, tomorrow is probably the biggest day for markets. Beyond the expiring ceasefire, we also have Kevin Warsh's confirmation hearing at the Senate Banking Committee for the role of Fed Chair. He is expected to be dovish on rates, but hawkish on the size of the Fed's balance sheet. More on this tomorrow. Tuesday will also see US retail sales for March – expected to hold up despite high energy prices.

We are not in the camp looking for an immediate return of the benign dollar decline that characterised the start of the year, and suspect DXY can trade in ranges near the 98.00/98.50 area.

Chris Turner

EUR: A week of survey evidence

We have a flurry of European Central Bank speakers in the early part of this week, ahead of the blackout period starting this Thursday. The main message continuing to come through is that the ECB is prepared to act (hike rates) should it be necessary, but that more time is needed. That means the market has priced out a 30 April hike and now attaches only roughly a 50% probably to a June hike. Our team think the ECB will indeed hike in June.

Away from ECB speakers, the eurozone calendar is dominated by business and investor surveys. This starts with the German ZEW tomorrow, builds through the eurozone April PMIs on Thursday, and then sees the Ifo on Friday. March business surveys were not as bad as they could have been, and it will be interesting to see whether they deteriorated much this month.

We are a little cautious on risk at the moment and see a steady state for EUR/USD closer to the 1.17 area.

Chris Turner

GBP: Focus on PM Starmer

Sterling has been performing reasonably well despite the market removing a lot of the expected Bank of England tightening this year. The market still prices one 25bp hike this year, while our team sees unchanged rates. That hike may not be priced out until oil prices drop, however.

There is also the small matter of politics in the UK. Prime Minister Keir Starmer will today make a statement in parliament to potentially correct the record on the approval process for the former

UK ambassador to the US, Peter Mandelson. This will be a tough session for PM Starmer and one which will extend into tomorrow, when the top civil servant involved in the approval process also appears at a parliamentary hearing.

GBP/USD could well hand back a big chunk of recent gains this week, with a first target being around the 1.3380/3400 area.

Chris Turner

CEE: Friday's gains face a test, yet market resilience is increasing

The second half of the month is traditionally quieter in the CEE region, while global headlines point to another busy week with the US-Iran conflict re-escalating.

Today in the Czech Republic, PPI for March will be published, which is unlikely to attract the market's attention. Tomorrow in Poland, labour market figures including wages and industrial production for March will be published. On Wednesday, we expect the Central Bank of Turkey to leave rates unchanged at 37.00%, in line with surveys. However, market pricing shows some expectations of rate hikes, reflecting pressure on higher inflation stemming from both the domestic environment and, in particular, higher global energy prices.

In Hungary, we will also monitor post-election developments and the formation of a new government this week. The final election results on Sunday showed additional mandates for the winning Tisza party (141 out of 199), further boosting the current majority in parliament.

After the re-escalation of the US-Iran conflict over the weekend, the market can be expected to open again in a risk-off mood after a strong rally in recent days. On Friday, we saw rates rally across the region, which will be tested today.

However, it's clear that the market is growing increasingly resistant to negative headlines coming from the Middle East – and we therefore expect only a partial correction of Friday's gains in rates and FX markets today. Hungarian assets, in particular, should remain covered by positive headlines after the elections with the prospect of an early unlocking of EU funds. In turn, we expect that any correction will be immediately welcomed by the market as an opportunity for new longs. We see EUR/HUF further heading below 360 in the coming days or weeks if the US-Iran conflict escalates further.

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The Commodities Feed: Markets whipsaw amid re-escalation in Persian Gulf

After a large selloff on Friday, energy markets are stronger this morning as tensions in the Persian Gulf build once again

Energy- Strait of Hormuz hopes fade

Oil prices are being whipsawed by developments in the Middle East once again, with what appears to be de-escalation quickly turning to re-escalation. Iran's announcement that it would allow commercial vessels to transit the Strait of Hormuz led to an aggressive pullback in oil and gas prices on Friday; ICE Brent fell as much as 13% at one point. The announcement also saw a pickup in vessels transiting the Strait of Hormuz. According to Bloomberg data, 11 tankers crossed the Strait of Hormuz on Saturday, the highest since the beginning of the war.

However, developments over the weekend suggest the thaw has been short-lived, with Brent opening stronger this morning. Iran reimposed its restrictions on the Strait of Hormuz after the US kept its blockade in place. After the US seized an Iranian-flagged vessel, there will be doubts over planned peace talks.

The US is sending negotiators to Pakistan for peace talks today. Iran, however, has said it doesn't plan to take part in talks. This is a concern as the two-week ceasefire nears an end. It opens the door to further escalation in the Persian Gulf and higher oil and gas prices.

Hopes for de-escalation led speculators to reduce their net long in ICE Brent. Speculators sold 50,858 lots over the last reporting week, leaving them with a net long of 373,412 lots as of last Tuesday. The move was primarily driven by longs liquidating, with holders of these positions selling 38,214 lots. The sharp, rapid swings in the market are creating a challenging environment for participants.

Metals – Aluminium volatility persists

LME aluminium prices fell by over 5.5% at one point on Friday after Iran announced it would keep the Strait of Hormuz open during a 10 day ceasefire between Israel and Hezbollah. The move briefly fuelled optimism for de-escalation. The critical route for global aluminium trade had been closed since late February following US and Israeli strikes on Iran. Prices climbed to a four year high last week amid supply disruptions.

However, the Strait was closed again over the weekend, highlighting the fragility of the ceasefire and keeping geopolitical risks firmly in focus. The region accounts for roughly 9% of global aluminium production. It's a key supplier to Europe, leaving the market highly exposed to renewed disruptions. As outlined in our latest note, the shock is no longer just logistical. Aluminium has moved into a structural deficit, with risks skewed to the upside if disruptions persist. Disruptions at Emirates Global Aluminium's Al Taweelah smelter, reduced output at Alba, and earlier curtailments at Qatalum could remove nearly 3 mtpa of capacity**,** almost half of Middle East production. This would potentially widen the global supply deficit to 2Mt. Given the difficulty of restarting smelting capacity, tight supply conditions are likely to continue supporting aluminium prices despite near term volatility.

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THINK Ahead: From ‘loads of money’ to no cash to splash

Harry Enfield’s ‘Loadsamoney’ mocked 80s yuppie excess; his catchphrase rang out across the UK. Today, there’s no cash to splash, and not just in Britain... high household savings ratios will struggle to spare Europe from an energy-led slowdown.

Plus, the confirmation hearing of Fed Chair nominee Kevin Warsh. All to look forward to next week

The cultural phenomenon, 'Loadsamoney', played by Harry Enfield in the 80s

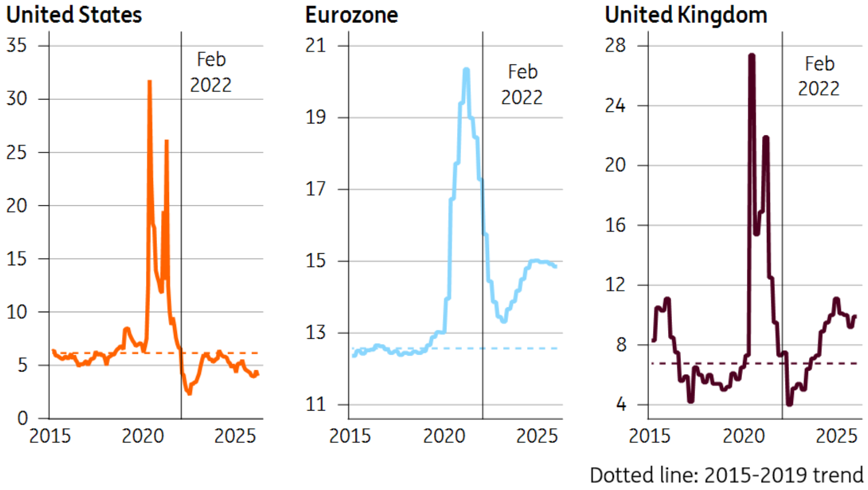
No cash to splash

Plenty of ink has been spilt on how this crisis differs from the 2022 energy shock. And mostly, not in a good way.Cooler job markets, less government stimulus, and tighter monetary policy all make the economy more vulnerable. And that means inflation is less likely to take hold in the long term.

But there’s one area that looks more positive: European savings.

The savings ratio - the proportion of income not spent on goods and services – has been consistently above its pre-Covid average. Admittedly, not in the US. But in the eurozone, where this energy shock will be felt more acutely, it’s comparable to levels in February 2022. And in the UK, it is considerably higher (or is it? More on that later...).

Household savings ratios are above-average in Europe



Source: Macrobond, ING

That matters because, at face value, it offers households a cushion against higher energy prices. Real incomes are set to fall as inflation heads to 4% and wage growth languishes at 2.5% in the eurozone and 3.5% in the UK. Even if you're an optimist and think wages will rise with prices (we don't!), this will take time. Continental Europe's system of collective bargaining means pay responds with a lag while new settlements are negotiated.

So, if disposable incomes are down, then that savings ratio is going to have to fall if a consumer-led recession is to be prevented. The fact that the savings ratio comes from a higher starting point should offer more scope for that to happen.

And we do indeed expect it to fall, at least temporarily. It's what we saw back in 2022 as households engage in what we economists call "consumption smoothing". Cut savings in the bad times, rebuild them in the good. That might help explain that savings ratio trend over the past few years.

However, I think there are a number of holes in this story:

For starters, are households really going to be willing to part with their cash at a time of such uncertainty, to the extent that saving is a choice? It feels unlikely. My colleague Peter Vanden Houte points to the March uptick in eurozone unemployment expectations as one reason for caution.

And is the savings ratio really a reliable measure in the first place? I've always been a bit sceptical because frankly, it isn't actually measured at all.

Put simply, it's the gap between a broad definition of income after taxes and household consumption. That sounds sensible enough, until you remember both of those numbers are calculated independently of one another, using different data sources and in complex methods. And because "savings" here is simply a residual between two very large numbers, it is subject to often huge revisions if one or both of those figures are updated.

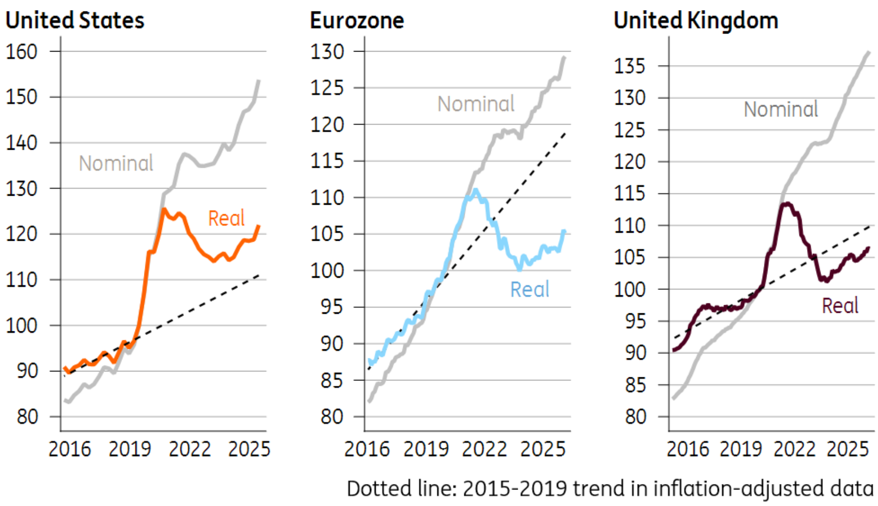
Case in point: when the data first came out, it showed Britain's savings ratio at 9% as of Q3 2022.

Data for that very same period has since been revised down to 5%. Pretty different, wouldn't you say?

The good news is we have a much better way of measuring all this. Central banks provide data on actual money in actual real-life bank accounts. The bad news? No big war chest of cash waiting to be splashed...

Adjusted for inflation, the stock of savings sat in European banks is below the pre-Covid trend on both sides of the channel. Likewise, if you look at deposits as a ratio of household disposable incomes. That's a stark contrast with early 2022, where economies were still lavishing in huge pools of "excess savings" – money squirrelled away when there was nothing to spend it on during the pandemic.

Nominal vs. real household deposits



Source: Macrobond, ING

Real data deflated by CPI (HICP for Eurozone). US series includes checkable deposits/currency, time and savings deposits and money market fund shares. Eurozone is household M3 deposit data. UK is household M4 deposits.

Then there's the impact of higher interest rates. The textbooks tell us that they should incentivise saving. Sure enough, eurozone data shows flows into deposit accounts with a fixed maturity nearly perfectly offset outflows from those paying overnight rates back in 2022.

But the textbook has also changed over the past two decades. Savers benefit quickly from higher deposit rates, while mortgage rates, typically fixed well into the future, take much longer to respond. That blunts the negative cash flow impact of tighter monetary policy, at least initially. And let's face it, the ECB rate hike we're now forecasting isn't going to move the needle much anyway.

Finally, we have to remember that the bulk of savings is held by the wealthiest and, therefore, least affected by the cost-of-living crunch. James Knightley points to Fed data, indicating the top 20% of earners hold 70% of savings (or specifically "other assets", most of which are deposits). Our own European survey shows almost a quarter of households have no savings at all.

All of this matters for the central banks. If the data is right that households don't have a big wadge of cash under the proverbial mattress – and those that do will be reluctant to spend it – then that's hardly good news for growth. And it's yet another reason to tread carefully when it comes to hiking interest rates.

James Smith

Three scenarios for energy markets

We've refreshed our three scenarios for the Iran crisis and energy markets as part of the ING Monthly published this week. Check out this article for more on what these scenarios mean for the economy and markets.

	Length of disruption (% disruption to Strait of Hormuz flows)	Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
			Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	Mar 100, Apr 60, May 30, Jun 15, Jul 10, Aug 10	1138	96	93	88	28	55	45	45
Prolonged disruption 2	Mar 100, Apr 100, May 50, Jun 40, Jul 20, Aug 20	1754	110	102	100	38	74	60	60
Re-escalation 3	Mar 100, Apr 100, May 100, Jun 100, Jul 50, Aug 50	3635	135	150	120	58	90	75	80

Source: ING

THINK Ahead in developed markets

United States (James Knightley)

- In a relatively quiet week for data, the focus will remain on US-Iran talks in the hope a deal can be reached that leads to a de-escalation and a re-opening of the Straits of Hormuz. Failure will undoubtedly hit risk assets and prompt a rebound in the dollar as markets price the prospect of higher for longer inflation, weaker growth and the Federal Reserve constrained from cutting interest rates.
- Outside of the data, the Fed has already entered its quiet period ahead of the April 29 FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held on April 21st. Once viewed as a hawk when he previously served as a Fed Governor, he has been nominated by President Trump who has demanded much lower interest rates from current incumbent, Jerome Powell. He will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there has to be justification.
- He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation, and, to be fair, there appears to be support for this view within the broader Fed given at the March forecast update they revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. Whether he will be approved quickly is another matter, given the Department of Justice's probe into Fed construction work overspends. The Senate Banking Committee is comprised of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom

Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.
- In terms of the numbers to watch, March retail sales will be the highlight. We saw a decent increase in unit auto sales in March following weather depressed activity in the first two months of the year, but it will be the higher gasoline price that will really lift the value of sales. Given this situation, we should focus on the core "control" measure that strips out autos, gasoline, building materials and eating out. This tends to better reflect underlying spending trends and a 0.2%MoM gain would fail to keep pace with inflation. This will mean a third consecutive month of weakness in consumer demand in an environment of depressed sentiment and squeezed spending power.

United Kingdom (James Smith)

- **Jobs/wages (Tue):** Private-sector wage growth is set to continue falling as a fragile jobs market bears down on pay pressure. This is one of the key arguments against rate hikes from the Bank of England
- **Inflation (Wed):** Predictably, headline inflation is set to nudge higher as the early impacts of the Iran war shine through. Higher petrol and heating oil prices look set to lift headline CPI to 3.3%. It won't be until July when the full effects are felt via the next update in the household energy price cap.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Mar industry** (Mon): We forecast that industrial activity returned to its subdued normal in March, and posted just a slight annual growth despite favourable calendar effects (one more working day). Purchasing managers report soft external demand (poor export orders) and a spike in input prices, most likely linked to the energy crisis triggered by the Middle East conflict. We are likely to see it in PPI numbers as well, and a decline in producers' prices was probably much shallower last month as prices in refining products soared.
- **Mar labour market** (Mon): Wages growth eased visibly at the beginning of 2026 amid a lower increase in the statutory minimum wage and less generous hikes in the public sector. Lack of inflationary pressure (apart from unfolding energy shock) curbs wage demand. We expect wage dynamics to converge towards levels consistent CPI at the target. (4-5%). Employment in enterprises remains in decline as some industries face mounting pressure from cheap Chinese imports, and the structure of industrial production and exports is shifting in response to the fact that Poland has become a hub for Asian imports.
- **Mar retail** (Mon): Consumer demand remains robust and is the main driver of economic growth. The mid-term trend in rising sales of durable goods remains sustained, but recent deterioration in consumer confidence, linked to elevated geopolitical uncertainty (Middle East conflict), may potentially undermine the propensity to spend over the medium term. Still, we forecast that sales in March were strong, even as purchases of petroleum products probably eased towards the end of the month as the government announced measures targeted at reducing gasoline and diesel prices from the beginning of April (maximum price, reductions in excise duty and VAT rate).

Czech Republic (David Havrlant)

- **PPI** (Mon): Producer prices reflected the surge in oil prices throughout March yet likely remained in an annual decline. Demand from European main trading partners remains lukewarm and puts pressure on margins, so that businesses maintain their price competitiveness, notably in the environment of dumping imports from China. April's business and consumer sentiment suffered from the havoc in the Middle East, nevertheless both remained relatively upbeat in levels. An increasing unemployment rate may further weigh on consumer sentiment, while the duration of the conflict will shape business mood in line with the assumed damage to the global economy.

Turkey (Muhammet Mercan)

- **Rate decision** (Wed): The CBT has reiterated in February its commitment to tightening monetary conditions in the event of a marked deterioration in the inflation outlook. In line with this stance, it suspended one week repo auctions and allowed the ON rate to rise toward the upper limit of the interest rate corridor following the escalation of the US Iran conflict. The subsequent ceasefire, however, brought temporary relief in early April. Losses in the CBT's foreign exchange reserves have come to a halt, while preliminary data point to an improvement supported by the Bank's FX swap operations with domestic banks and some reversal in capital flows.
- Against this backdrop, we expect that the CBT will leave both the policy rate and the corridor framework unchanged at the April MPC meeting. Nonetheless, ongoing geopolitical uncertainty may encourage a more cautious approach, potentially leading to an adjustment of the policy rate from 37% toward the current effective funding rate of approximately 40%.

Kazakhstan (Dmitry Dolgin)

- **Rate decision** (Fri): We expect the National Bank of Kazakhstan (NBK) to keep the base rate unchanged at its 24 April meeting. Recent trends, including a slowdown in CPI to 11.0% YoY in March and a roughly 5% appreciation of the KZT against the USD since the outbreak of the Iran war, suggest some scope for rate cuts over the medium term. For now, however, elevated uncertainty around a potential global inflation shock and higher risk premia argue for caution. In our view, holding rates steady carries a lower risk of a policy mistake than an early cut.
- We have slightly revised up our CPI outlook for the CIS 4, effectively flattening the expected path of policy easing across the region. For Kazakhstan, arguments against an immediate cut include risk of additional domestic utility tariff hikes and quasi fiscal stimulus, both highlighted in the NBK's previous communication. Strong economic activity and robust bank lending dynamics also suggest there is no urgency to ease policy at this stage.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 20 April		
Canada	1330	Mar CPI (MoM%/YoY%)	1.0/2.5	0.5/1.8
	1330	Mar Core CPI (YoY%)	2.4	0.4/2.3
		Tuesday 21 April		
US	1330	Mar Retail Sales (MoM%)	1.6	0.6
UK	0700	Feb ILO Unemployment Rate	5.2	5.2
	0700	Feb Employment Change (000s)	30	84
	0700	Feb Average Weekly Earnings (3M YoY%)	3.5	3.8
	0700	Feb Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.8
		Wednesday 22 April		
Eurozone	1500	Apr Consumer Confidence Flash	-	-16.3
UK	0700	Mar Core CPI (YoY%)	3.2	3.2
	0700	Mar CPI (MoM%/YoY%)	0.6/3.3	0.4/3.0
	0700	Mar Services CPI (YoY%)	4.4	4.3
Sweden	0700	Mar Unemployment Rate	-	8.8
		Thursday 23 April		
US	1330	Initial Jobless Claims (000s)	210	207
	1445	Apr S&P Global Manufacturing PMI Flash	-	52.3
	1445	Apr S&P Global Services PMI Flash	-	49.8
	1445	Apr S&P Global Composite PMI Flash	-	50.3
Eurozone	0900	Apr HCOB Manufacturing PMI Flash	-	51.6
	0900	Apr HCOB Services PMI Flash	-	50.2
	0900	Apr HCOB Composite PMI Flash	-	50.7
Germany	0830	Apr HCOB Manufacturing PMI Flash	-	52.2
	0830	Apr HCOB Service PMI Flash	-	50.9
	0830	Apr HCOB Composite PMI Flash	-	51.9
France	0815	Apr HCOB Composite PMI Flash	-	48.8
UK	0930	Apr S&P Global Composite PMI Flash	50.0	50.3
	0930	Apr S&P Global Manufacturing PMI Flash	50.5	51
	0930	Apr S&P Global Services PMI Flash	50.0	50.5
		Friday 24 April		
US	1500	Apr Michigan Sentiment Final	48	47.6
Germany	0900	Apr Ifo Business Climate	-	86.4
	0900	Apr Ifo Current Conditions	-	86.7
	0900	Apr Ifo Expectations	-	86
UK	0700	Mar Retail Sales (MoM%/YoY%)	-/-	-0.4/2.5
Canada	1330	Mar Retail Sales (MoM%)	0.8	1.1

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 20 April		
Czech Rep	0800	Mar PPI (MoM%/YoY%)	1.4/-1.1	0.1/-2.9
		Tuesday 21 April		
Poland	0830	Mar Employment Growth (YoY%)	-0.8	-0.8
	0830	Mar Industrial Output (YoY%)	0.9	1.5
	0830	Mar PPI (YoY%)	-0.3	-2.3
	0830	Mar Wages (YoY%)	6	6.1
Turkey	0800	Apr Business Confidence	-	101
		Wednesday 22 April		
Russia	1700	Mar Industrial Output	0.9	-0.9
	1700	Mar PPI (MoM%/YoY%)	-/-	0.5/-5.2
Turkey	1200	Apr CBT Weekly Repo Rate	37.00	37.00
	1200	Apr Overnight Lending Rate	40.00	40.00
	1200	Apr Overnight Borrowing Rate	35.50	35.50
		Thursday 23 April		
Poland	0830	Mar Retail Sales (YoY%)	5.2	5
	0830	Apr Consumer Confidence	-	-12.2
	1300	Mar Money Supply (YoY%)	10.9	10.6
		Friday 24 April		
Russia	1130	Apr Central Bank Key Rate	14.50	15.00
Poland	0830	Mar Unemployment Rate	6	6.1
Czech Rep	0800	Apr Consumer Confidence	105.2	110.4
	0800	Apr Business Confidence	98.8	100.4
	0800	Apr Composite Confidence	99.9	102.1
Hungary	0730	Mar Unemployment Rate	4.9	4.9
Kazakhstan	0000	Apr Interest Rate Decision	18.00	18.00

Source: Refinitiv, ING forecasts

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Carsten: What the Middle East war means for the economy right now

Higher oil prices, higher inflation, lower growth. It's a depressing snapshot of what's in store for the global economy as the war in the Middle East continues. Here's Carsten Brzeski's take on where we are right now.

Our global team gives its detailed perspective in our latest ING Monthly. [Read it here]

What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

[Watch video]

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Disclaimer

Belgium’s fiscal clean-up still has a long way to go

More than a year ago, Belgium's federal government launched a fiscal consolidation drive. The impact is real – especially over the very long term – but it still falls short. And the energy shock risks pushing public finances further off course

Reducing the public deficit and stabilising debt are major constraints weighing on the Belgian economy. Prime Minister Bart De Wever (R) has warned of a challenging decade ahead

A bleak starting point

Starting a term with a deficit above 5% of GDP is a tough inheritance for any new government. Moreover, on a no-policy-change basis, ageing would have added around 0.2 percentage points to the deficit each year, while a higher interest-rate environment is expected to add another 0.1 points annually. In other words, much of this legislature’s fiscal agenda will be about stabilising – and ultimately repairing – public finances. Prime Minister Bart De Wever has been clear about the challenge, warning of a difficult decade ahead.

In recent months, the federal government has rolled out structural reforms covering pensions, the labour market and capital taxation. Most measures are now finalised, allowing a clearer estimate of their budgetary impact in both the short and the long run. A series of publications from the National Bank of Belgium, the Federal Planning Bureau and the Public Finance Monitoring

Committee has also sharpened the picture of where public finances are headed.

The good news

The latest reports contain at least one encouraging message. The National Bank of Belgium's annual report estimates that the measures adopted will deliver net savings of around 1.1ppt of GDP by 2028. Excluding additional defence spending, savings could reach 1.6ppt. On top of that, tax revenues are expected to rise by about 0.3ppt of GDP.

On the spending side, most savings come from social benefits – particularly pensions and unemployment. On the revenue side, indirect taxes (VAT and excise duties) and wealth taxation contribute positively, although much of that gain is offset by planned cuts to taxes on earned income.

The Federal Planning Bureau also provides a detailed estimate of how pension reform affects the cost of ageing (the rise in age-related public spending). Over the long term (2024–2070), it estimates the cost of ageing would fall by 1.3 percentage points of GDP – around one-third lower than pre-reform assessments. The improvement reflects both lower spending (via changes to pension calculation) and higher GDP, as reforms lift labour supply and the number of people in work.

Taken together, these assessments suggest Belgium has, unlike some peers, implemented reforms that meaningfully improve the longer-term fiscal trajectory, even if only partially.

The bad news

But all of the analyses point to the same conclusion: the package, as it stands, is not enough to put public finances on a sustainable footing in the medium term. Under unchanged policy assumptions, the deficit worsens again from 2027 and could reach 6.2% of GDP by 2030. The Public Finance Monitoring Committee – bringing together senior officials from the Finance Ministry and Social Security, as well as representatives from the Inspectorate of Finance and the Planning Bureau – also foresees a renewed deterioration from 2029, with the deficit close to 6% of GDP by 2030.

The National Bank of Belgium estimates that a deficit of around 3% of GDP would be needed to stabilise the debt ratio. Belgium remains far from that threshold in the years ahead, not only because the primary balance is projected to settle around -2% of GDP by 2030, but also because interest costs will rise. That reflects both higher debt levels and a structurally higher interest-rate environment than in the past.

It is also worth noting that many projections assume annual growth of around 1.1%. The renewed conflict in the Middle East makes that assumption less credible in the near term. Growth is likely to come in below 1% this year (ING projection: 0.7%), which would further weaken the budget balance. Meanwhile, the rise in long-term rates since the escalation of the conflict is likely to increase debt-servicing costs, at least temporarily.

What does this mean?

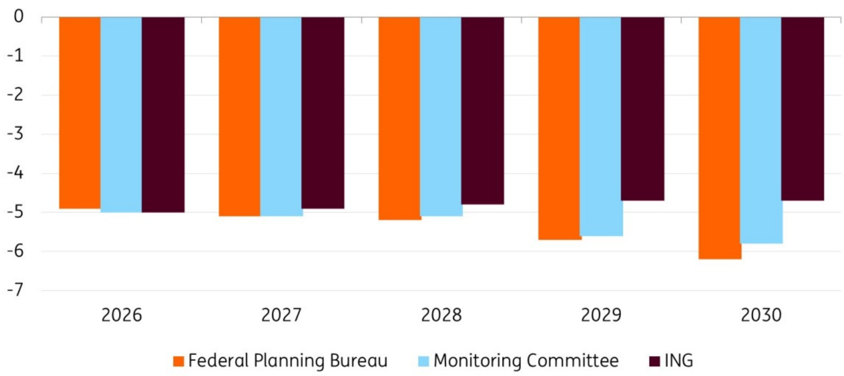
One caveat is that institutional projections (National Bank of Belgium, Planning Bureau) only include measures that have been formally decided and sufficiently documented. Our baseline assumes additional steps later in the legislature, which would make the fiscal trajectory less bleak than the unchanged policy scenarios suggest.

However, the room for manoeuvring looks limited. Social tensions remain elevated (with repeated strikes and national days of action), and political frictions within the majority add another constraint. We therefore expect any additional measures to focus on offsetting weaker growth and keeping the deficit below 5% of GDP – likely enough to meet European Commission requirements (we mustn't forget that Belgium is still in an excessive deficit procedure). Even so, this would not stabilise the debt path, which remains a key consideration for sovereign ratings.

Moody's will update Belgium's sovereign rating today, with S&P scheduled to follow a week later. It is not clear that the good news will outweigh the bad, and the risk of a downgrade remains meaningful. Still, Moody's recent decision not to downgrade France despite budget challenges at least as severe as Belgium's argues for a status quo for now.

Comparison of public deficit projections (2026-2030)

(% of GDP)



Source: Federal Planning Bureau, Monitoring Committee, ING

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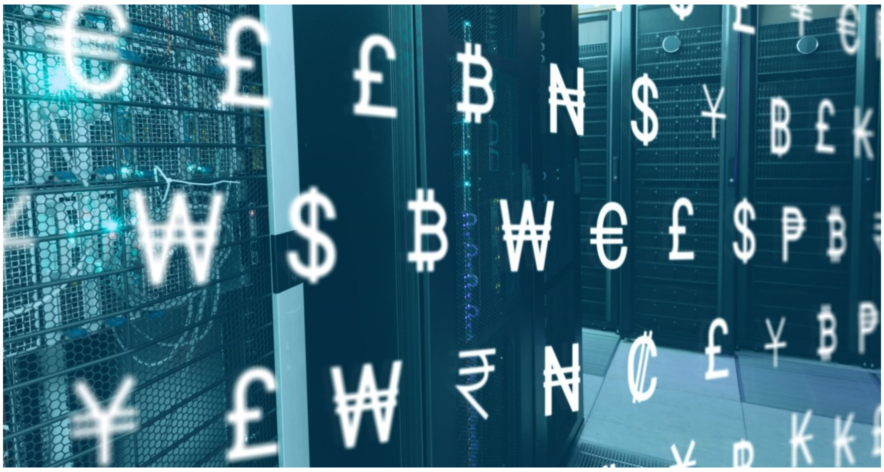
G10 FX Talking: Time to back the hawkish central banks

With inflation expected to rise sharply over the next three to six months, currency trends will increasingly be determined by those central banks prepared to keep real interest rates tight. We now expect an ECB hike in June and tightening in Australia and Norway. We doubt the Fed will be dragged into a tightening cycle and expect the dollar to soften



Real interest rates will become increasingly important this year. A dovish Fed should mean the dollar can fall further

Main ING G10 FX Forecasts

	EUR/USD		USD/JPY		GBP/USD	
1M	1.17	↓	159	→	1.34	↓
3M	1.17	↓	158	→	1.33	↓
6M	1.18	↓	155	↓	1.33	↓
12M	1.20	↑	152	↓	1.33	↓

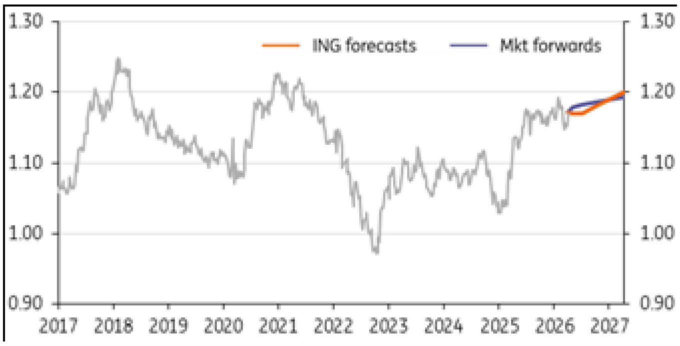
	EUR/GBP		EUR/CHF		USD/CAD	
1M	0.87	→	0.92	→	1.36	↓

3M	0.88	↑	0.92	→	1.37	→
6M	0.89	↑	0.92	↑	1.35	↓
12M	0.90	↑	0.92	↑	1.34	↓

EUR/USD: Supported under the baseline scenario

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.18	Neutral	1.17	1.17	1.18	1.20

- Investors are taking the view that a sustainable Middle East ceasefire will be forthcoming as President Trump keeps one eye on domestic approval ratings and the Iranian leadership looks to the future. With energy prices not fully retreating, higher headline inflation is baked in, although central banks will react differently depending on their starting points. We look for a 25bp ECB hike in June, while we think the Fed can resist the temptation to hike and will still be able to cut rates twice later this year.
- Modelling oil prices, rate differentials and a benign equity outlook gives us steady to higher EUR/USD forecasts this year.
- De-dollarisation remains a threat, but evidence is scant so far.

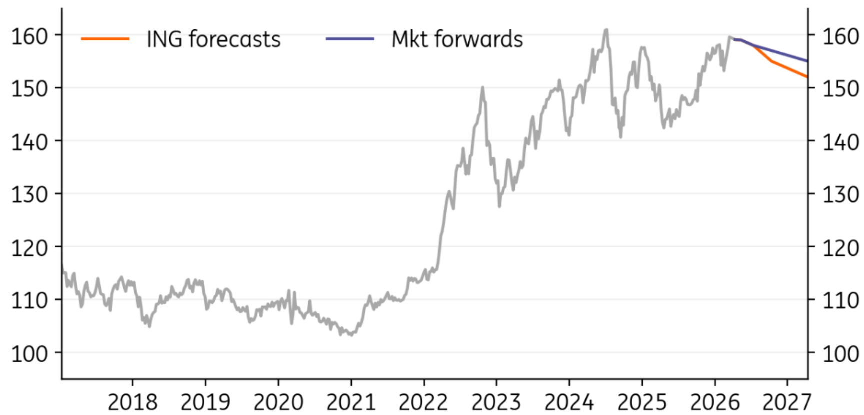


Source: Refinitiv, ING forecasts

USD/JPY: Bank of Japan rate hikes to strengthen resistance at 160

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	159.00	Neutral	159.00	158.00	155.00	152.00

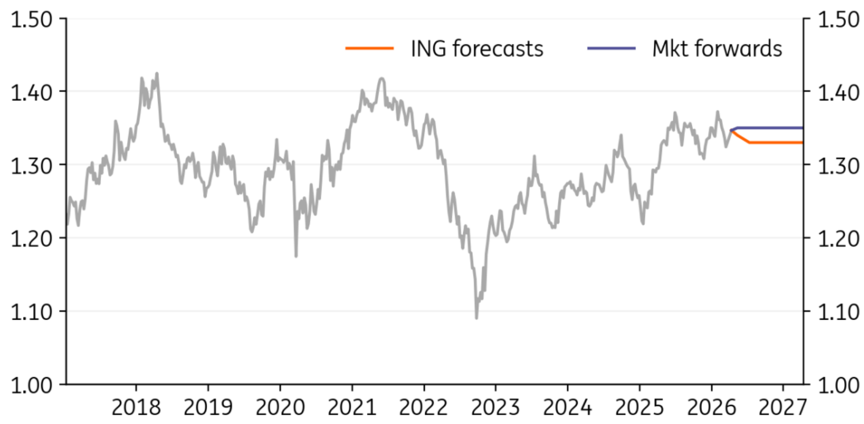
- As in 2022, the energy shock has hit the yen. However, the scale of today's terms of trade shock is only a fraction of what was seen back then. This allows Tokyo to keep talking tough about USD/JPY near 160. That tough talk, however, needs to be backed up with either intervention or rate hikes. In our view, the market is under-pricing the chance of a 25bp BoJ rate hike on 28 April, where tight labour markets and strong wages worry the BoJ.
- A rate hike and an undervalued yen should be enough to see 160 largely remain intact, but it's too early to expect a big drop.
- Two Fed rate cuts later in the year should drag USD/JPY lower – also look out for Kevin Warsh confirmation testimony on 21 April.



GBP/USD: Sticking to the unchanged Bank of England rate call

	Spot	One month bias	1M	3M	6M	12M
GBP/USD	1.3500	Neutral	1.34	1.33	1.33	1.33

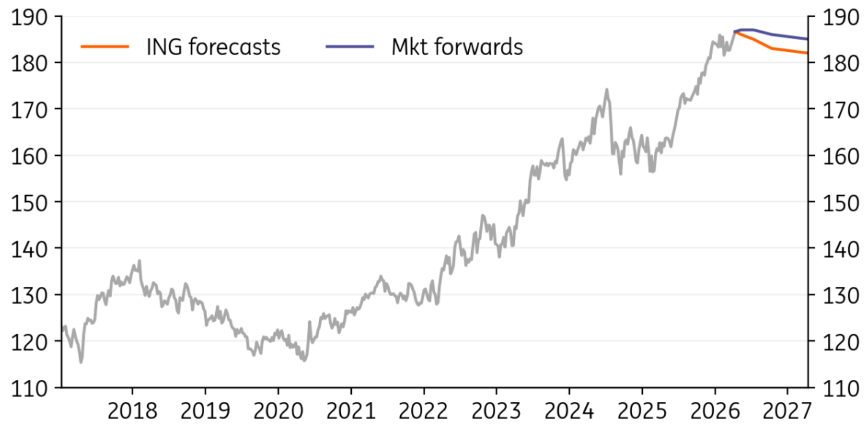
- Cable has rebounded alongside EUR/USD as traders jump to reprice Middle East risk. The initial market view that the BoE would have to tighten more sharply than the ECB has proved wrong, with current pricing showing 51bp of ECB rate hikes versus 33bp for the BoE this year. Given our call for unchanged BoE rates this year, sterling could suffer. In reality, that re-pricing may not emerge until the 18 June BoE meeting.
- Until then, GBP/USD probably bounces around in a 1.33-1.36 range, driven by Middle East headline risk.
- There is focus of the Labour government pivoting towards Europe again – yet no tangible impact on activity or GBP is expected.



EUR/JPY: Still going

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	187.0000	Mildly Bearish	186.00	185.00	183.00	182.00

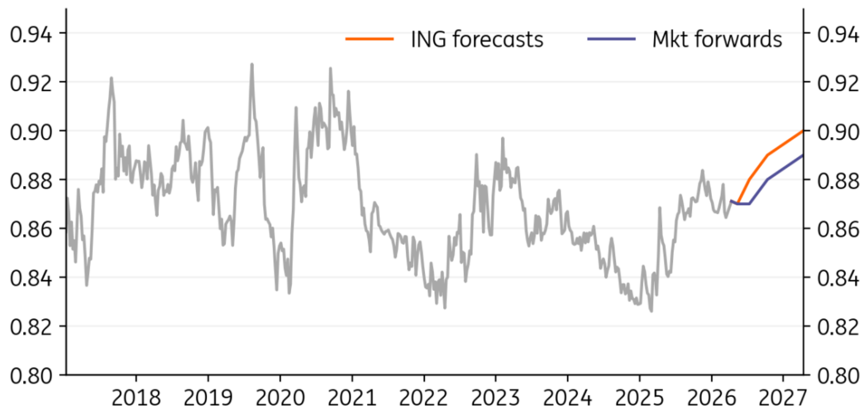
- After a contained couple of months, EUR/JPY is pushing higher again. The incredibly resilient pro-risk environment continues to favour the more cyclical euro than the yen. It remains hard to stand in the way of this trend, although Japanese intervention or a BoJ rate hike could see some independent JPY strength.
- From the euro side, the ECB needs to manage the inflation risk carefully. We see a June rate hike with risk of another should core inflation surprise to the upside. That second hike could come in September and prove an upside risk to our EUR forecast.
- Japanese fiscal policy is a double-edged sword for the yen. New stimulus is good for activity but leaves sovereign risk fragile.



EUR/GBP: Holding on for higher levels

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8700	Neutral	0.87	0.88	0.89	0.90

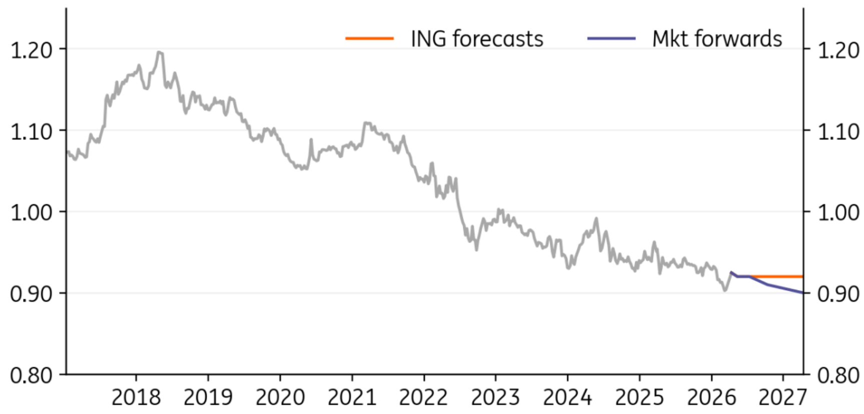
- EUR/GBP is edging higher after heavy position-adjustment last month. Then, many investors had been long gilts and short sterling on the view that inflation would allow the BoE to cut more deeply. The energy shock upended all that. Still, UK activity is not as strong as it looks and ECB tightening versus an unchanged BoE should drag EUR/GBP toward 0.88 this summer.
- Equally, the eurozone should enjoy some fiscal stimulus, whereas UK fiscal headroom remains constrained. Regarding fiscal, local elections in May continue to present risks to the current Labour leadership – with any new government moving to the left.
- 0.8600 remains pivotal support now, below which views change.



EUR/CHF: Switzerland relatively insulated to the oil shock

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9200	Neutral	0.92	0.92	0.92	0.92

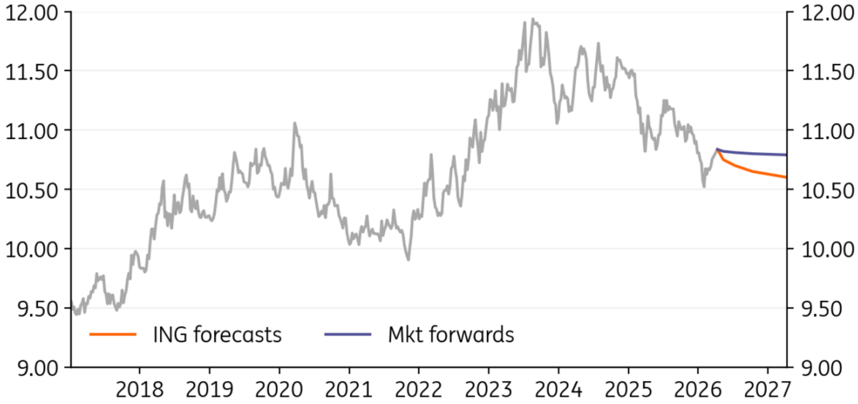
- EUR/CHF trading below 0.90 in March and the real, trade-weighted CHF trading at 120 (highest since 2015) clearly hit a raw nerve at the Swiss National Bank. It has probably been intervening over the past four weeks – potentially in the region of CHF5-10bn. That will not be confirmed until FX intervention data is released on 30 June.
- However, we do not think the SNB needs to chase CHF lower. Monetary policy is still described as expansionary, real estate is well bid and Switzerland's lower energy intensity in manufacturing means that growth prospects have not been hit too hard. Growth is still forecast to improve in 2026 and 2027.
- More aggressive ECB rate hikes than forecast could see 0.95 here.



EUR/SEK: Revising profile slightly higher

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	10.8200	Mildly Bearish	10.75	10.70	10.65	10.60

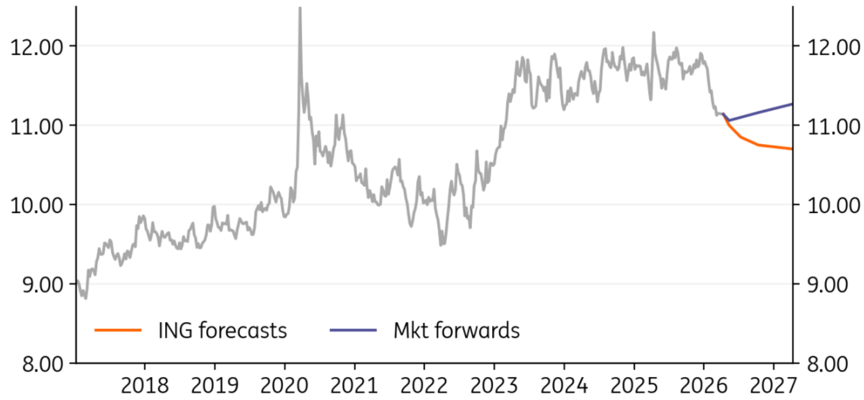
- Risk sentiment turmoil in early-April brought EUR/SEK briefly above 11.00, with the pair now stabilising around 10.80-10.85, broadly in line with our short-term fair value estimate.
- Further de-escalation can bring EUR/SEK back to the 10.70-10.75 area on the back of risk-on moves. But the pair will be left with a slightly stronger outlook compared to pre-war. We have revised our year-end target from 10.50 to 10.60.
- We don't expect a hike in Sweden before 1Q27, as the Riksbank looks happy to look through this temporary inflation bump. Risks are, however, for an earlier move, which is fully priced in.



EUR/NOK: Norges Bank set to hike in May

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	11.0400	Neutral	11.00	10.85	10.75	10.70

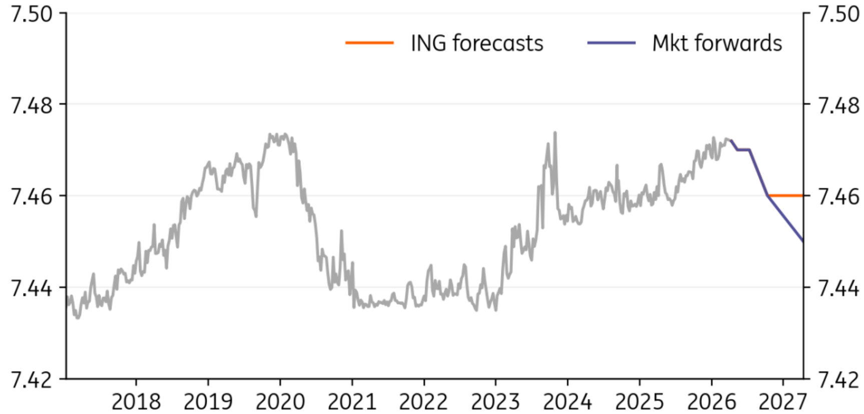
- We are sticking to our bearish call on EUR/NOK. The way the de-escalation in the Gulf seems to be playing out is proving more positive for risk sentiment than it is negative for oil prices. A break below 11.00 remains a tangible risk by the end of the second quarter in our view.
- We expect a hawkish Norges Bank to help NOK. Our call is for a rate hike on 7 May (16bp priced in) as some members were ready to hike already in March and the minutes showed concerns on inflation even before the war impact.
- Norges Bank may well keep the door open to further rate hikes and that should keep rate differentials attractive for bearish bets on EUR/NOK, even if the ECB ends up hiking too.



EUR/DKK: Thinking of a bigger hike than the ECB?

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4700	Neutral	7.47	7.47	7.46	7.46

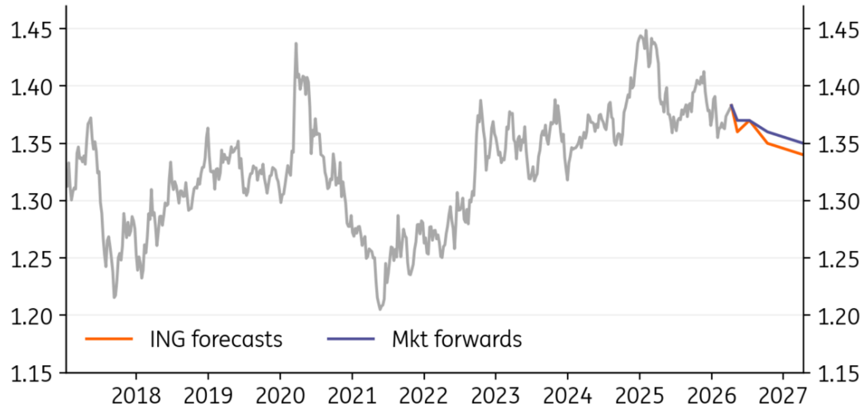
- EUR/DKK remains at the top of recent ranges, as the Danish central bank decided not to intervene again in March and rate differentials keep applying upward pressure.
- These are levels consistent with previous bouts of FX intervention, and we wonder whether the central bank's plan is to wait for an ECB hike and deliver a larger (e.g. 35-40bp) hike. That would surely grant more consistent support to DKK.
- We are still expecting a moderation back to 7.460 later this year in EUR/DKK, perhaps via interventions or rate gap changes.



USD/CAD: CAD in a desirable spot

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.3700	Mildly Bearish	1.36	1.37	1.35	1.34

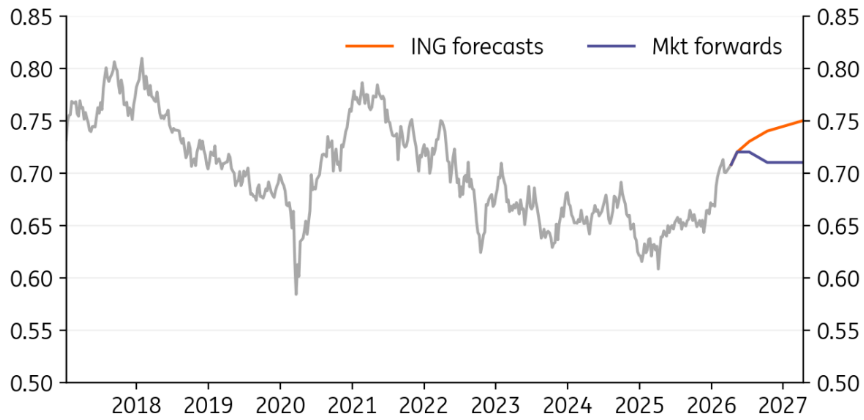
- We are keeping a modestly downward-sloping profile for USD/CAD into year-end, primarily on the back of expected USD weakness once the Fed resumes cutting (we think in 3Q).
- The domestic story isn't that supportive for CAD. Higher oil prices help growth, but the Bank of Canada remains very worried about upcoming USMCA negotiations and the impact on jobs. We don't think they'll hike despite markets pricing in c.30bp by year-end.
- A scenario where oil lands above pre-war level but a de-escalation still allows global risk sentiment to improve can send USD/CAD back to 1.36 before USMCA risk rises.



AUD/USD: Reserve Bank of Australia set to go again in May

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.7200	Neutral	0.72	0.73	0.74	0.75

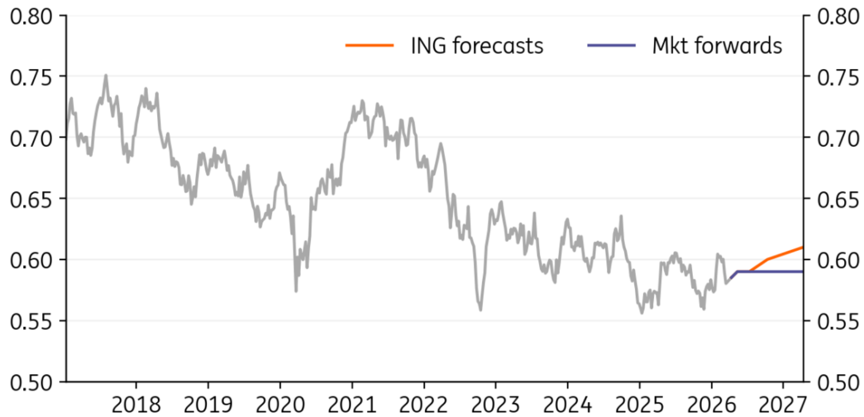
- We expect the RBA to hike 25bp to 4.35% in May. Officials have sounded concerned about losing control of inflation expectations, and headline CPI could touch 4.5% on the energy impact.
- Market pricing for May is 18bp, and 55bp by year-end. In our baseline oil scenario (Brent back below $90/bbl in 2H26), we don't expect additional hikes after May. However, we think the RBA will keep the door open for more given lingering uncertainty.
- A hawkish RBA, improved sentiment and only a slow decline in energy prices means our previous end of second quarter 0.72 target for AUD/USD can be reached earlier. We are also upgrading our year-end forecast to 0.75.



NZD/USD: Reserve Bank of New Zealand to delay hike

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5900	Neutral	0.59	0.59	0.60	0.61

- Policy divergence and opposite exposure to energy prices have continued adding upward pressure on AUD/NZD, which is at a 13-year high.
- We agree with markets that the RBNZ will have to hike rates twice this year. However, Governor Breman is living up to her dovish fame and may delay it as long as possible. Markets are pricing in a move in July, but September looks a bit more realistic.
- NZD/USD is slightly undervalued at these levels and may emerge as an alternative to the overbought AUD in a risk-on, oil-off environment. A still dovish RBNZ at the next couple of meetings may, however, put a cap on rallies.



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Disclaimer

EMEA FX Talking: A new dawn for the forint

Headlines across EMEA have been dominated by the Tisza Party's landslide victory in Hungary. Even though many investors were positioned for such an outcome, our team feel the EUR/HUF move could extend to 350 over the coming months and to 340 early next year. Elsewhere, the Turkish FX regime remains under control, and the rand is back in demand

If the incoming Péter Magyar-led government meets expectations, the forint could be on track for a fundamental strengthening

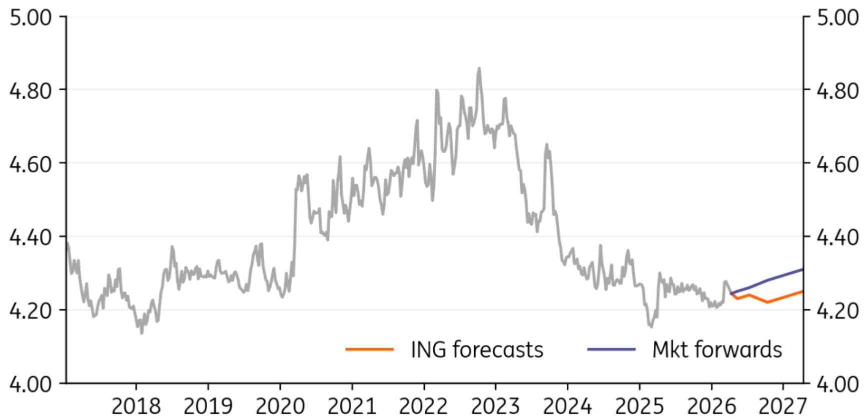
Main ING EMEA FX Forecasts

	EUR/CZK	EUR/PLN	EUR/HUF
1M	24.35 →	4.23 ↓	360 ↓
3M	24.25 ↓	4.24 ↓	350 ↓
6M	24.20 ↓	4.22 ↓	365 ↓
12M	24.10 ↓	4.25 ↓	342 ↓

EUR/PLN: The zloty erased most of its losses from March

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	4.24	Neutral	4.23	4.24	4.22	4.25

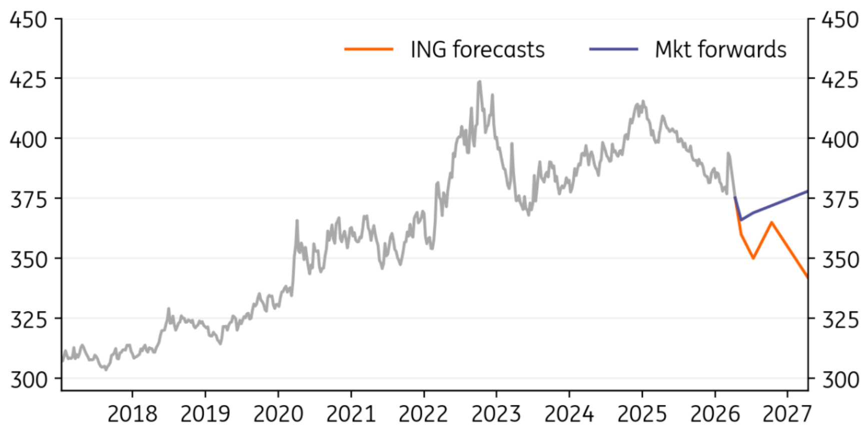
- In March, the EUR/PLN exchange rate touched 4.30, its highest level since April 2025 – the start of the trade war saga – as risk aversion linked to the Middle East conflict spread across global markets. The situation changed in April, as markets became more optimistic about the US-Iran conflict.
- The Polish currency was also supported by the outcome of the parliamentary elections in Hungary, as well as a temporary Easter ceasefire between Russia and Ukraine, accompanied by signs of possible progress in peace talks. As a result, the EUR/PLN exchange rate returned towards the 4.24 level.
- We remain neutral on the zloty. The domestic fundamentals are supportive for the Polish currency, especially with GDP growth outperforming the CEE region as well as an expected European Union stream of funds to come this year. Current risks are still linked to the geopolitical factors and global risk appetite.



EUR/HUF: We turn fundamentally bullish on HUF

	Spot	One month bias	1M	3M	6M	12M
EUR/HUF	365.0000	Mildly Bearish ↘	360.00	350.00	365.00	342.00

- Despite all the geopolitical noises and vulnerabilities, the Hungarian forint strengthened to a level not seen in four years in the post-election market repositioning.
- Local and international investors have clearly placed their trust in the new political era. If the incoming government led by Péter Magyar lives up to this trust and does not abuse it, we believe that the HUF could be on track for fundamental strengthening.
- Given the significant global uncertainty at present, investors are likely to want to realise profits earlier than usual, leading to higher volatility. However, the HUF will continue to appreciate if there are positive headlines from time to time about EU funds, institutional changes, fiscal policy or foreign policy.



EUR/CZK: Engines of koruna's strength set to prevail

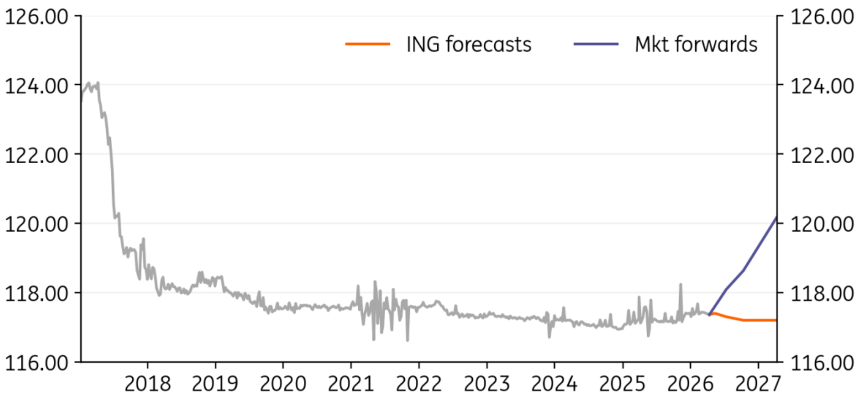
	Spot	One month bias	1M	3M	6M	12M
EUR/CZK	24.3400	Neutral	24.35	24.25	24.20	24.10

- Should the turmoil in the Middle East calm down in light of recent negotiations, and the Brent crude price gradually recede, the impact on Czech inflation and economic performance would be limited. In such a case, the koruna would enter its appreciation trajectory again.
- Czech industry set on an upward path at the start of the year, after having stabilised in 2025. The fiscal stance is in decent shape to sustain a time-limited negative supply shock in case the government would support households or businesses. So, despite some pressure on economic activity the outperformance vis-à-vis the eurozone means further tailwinds for the koruna.
- If we see another round of escalation unfolding, the koruna is likely to come under pressure, especially if this would imply extensive damage to the global economy. Weak foreign demand is not good news for Czech exporters, and such a scenario would at least temporarily undermine the fundamental drivers of the koruna.

EUR/RSD: National Bank of Serbia grip likely to keep RSD sideways

	Spot	One month bias	1M	3M	6M	12M
EUR/RSD	117.3500	Neutral	117.40	117.30	117.20	117.20

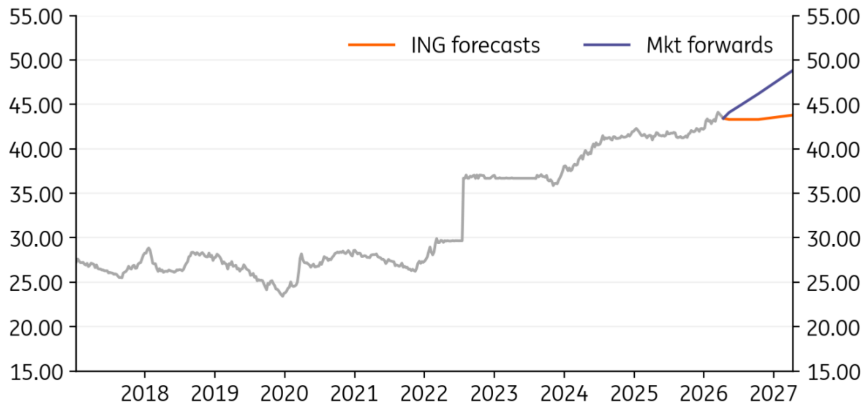
- EUR/RSD has continued to trade mostly sideways, despite persisting political tensions and a still uncertain outcome related to the NIS refinery. The pair sat mostly in a 117.30 – 117.50 range. From a macro imbalances standpoint, Serbia's position continues to remain robust.
- Strong investments also continue to provide tailwinds for activity, supporting the fundamentals. On the consumption front, the still-high, double-digit wage growth likely acted as a cushion through most of the recent uncertainties and prevented stronger reactions in household demand.
- At its April meeting, the National Bank of Serbia kept the key rate in place at 5.75% - flagging the country's net energy importer status in the context of the ongoing Middle East tensions. We continue to believe that FX stability should remain a key focus ahead – in January-March, the central bank sold EUR1,220m to keep the pair stable.



USD/UAH: Brighter outlook for Ukraine's economy

	Spot	One month bias	1M	3M	6M	12M
USD/UAH	43.8300	Mildly Bearish	43.30	43.30	43.30	43.80

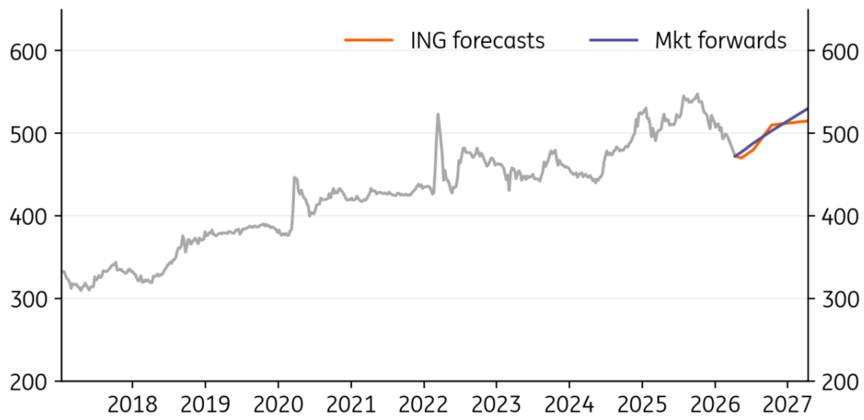
- The conflict in the Middle East triggered a risk‑off shift in market sentiment. The hryvnia weakened to record lows against both the US dollar and the euro. However, in April, as markets turned more positive following the US–Iran ceasefire, the USD/UAH exchange rate reversed most of its earlier move.
- The National Bank of Ukraine sought to curb the negative effects of elevated risk aversion. In March, international reserves declined by 5.0%, driven mainly by the NBU's FX interventions. Nevertheless, despite the decrease, reserves remain sufficient to support FX market stability, as they are still close to record highs.
- The macroeconomic environment remained challenging. In March, businesses returned to reporting a positive outlook, and – for the first time in nearly a year – improvements were expected across all surveyed sectors. The more optimistic expectations were supported by improvements in the energy sector and a rebound in consumer demand.



USD/KZT: Our view improves on higher oil prices

	Spot	One month bias	1M	3M	6M	12M
USD/KZT	472.0000	Neutral	470.00	480.00	510.00	515.00

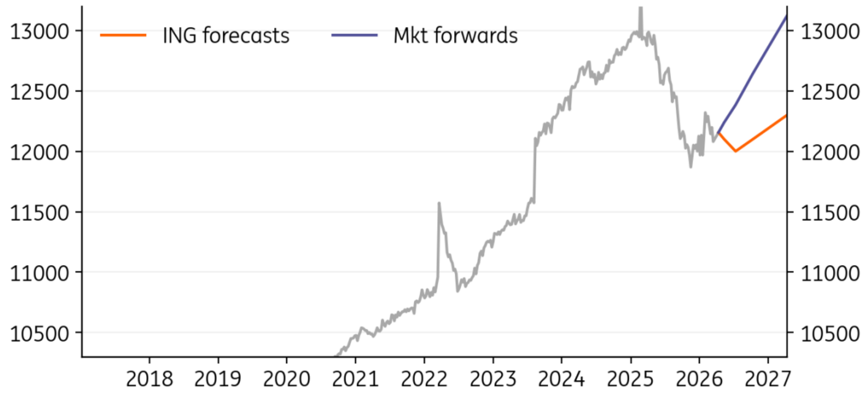
- The tenge is one of the key beneficiaries of the tensions in the Middle East, as it has lifted by c.6% since the outbreak – against the backdrop of Brent rallying by c.33% while the US dollar remained virtually flat against the key currencies.
- The fresh upward revision to global energy price assumptions led to an improvement of our view on Kazakhstan's external balance: at $89/bbl Brent average in 2026 we expect its current account deficit to halve to 2.0-2.5% of GDP.
- We've also slightly improved our view of the tenge's trajectory. We remain constructive about the near-term prospects but continue to see depreciation risks in the longer run on structural features of the balance of payments.



USD/UZS: Resilience confirmed so far

	Spot	One month bias	1M	3M	6M	12M
	12,165.0000	Mildly Bearish	12100.00	12000.00	12100.00	12300.00

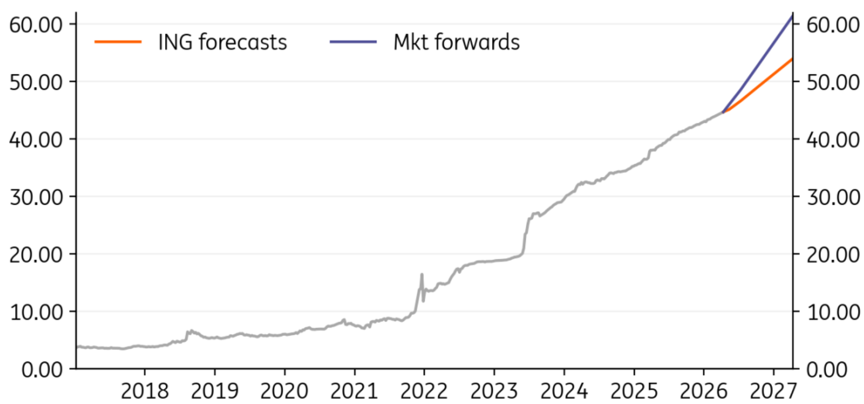
- The Uzbekistani soum remained flat vs the US dollar since the beginning of March, suggesting resilience to volatility in the global risk appetite and c.9% correction in the gold price since the outbreak of tensions in the Middle East.
- The 85t of gold Uzbekistan exported in 2025 is significantly lower than the historical high of c.120t in 2023. This suggests that Uzbekistan can boost physical exports to an extent that would allow retaining last year's exports proceeds of $10bn, even if the gold price were to settle at $2,000-2,500/oz.
- We maintain our constructive near-term view on UZS, but as with the case of Kazakhstan, see some moderate scope for depreciation in the longer run if the issue of twin deficits and elevated CPI is not resolved.



USD/TRY: Signals of recovery in foreign appetite with the ceasefire

	Spot	One month bias	1M	3M	6M	12M
USD/TRY	44.7600	Mildly Bullish	45.10	46.60	49.10	54.00

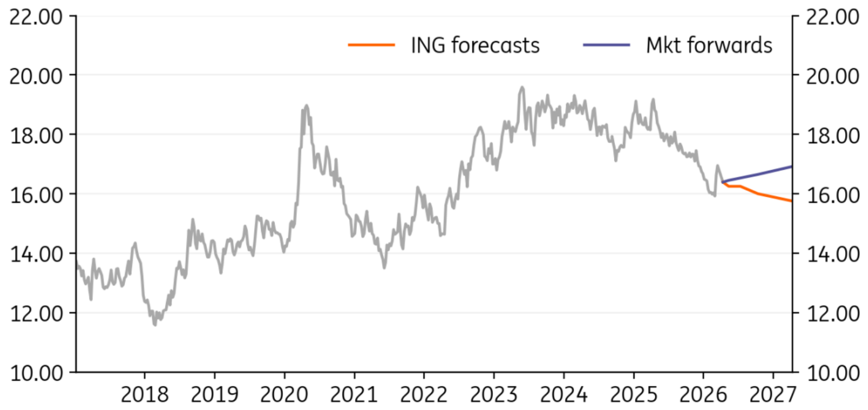
- Amid heightened turmoil in the Middle East, the Central Bank of Turkey (CBT) suspended one week repo auctions and allowed the overnight rate to drift toward the upper bound of its interest rate corridor. It also removed certain exemptions tied to TRY credit growth restrictions and resumed FX swap transactions with domestic banks to support reserves.
- Since late February, portfolio outflows have reached US$9.6bn, alongside the unwinding of more than US$21bn in carry trade positions. Sustained uncertainty could trigger further outflows. However, the recent ceasefire has eased market concerns, prompting a partial reversal of capital movements.
- Foreign investor outflows and lower gold prices have pressured the CBT's FX reserves. Net reserves excluding swaps fell from US$78.6bn to about US$18.3bn by 3 April. Despite reduced FX swaps with local banks in recent days, reserves are gradually recovering, indicating some foreign inflows.



USD/ZAR: Remarkable resilience from South African assets

	Spot	One month bias	1M	3M	6M	12M
USD/ZAR	16.4200	Mildly Bearish ↘	16.25	16.25	16.00	15.75

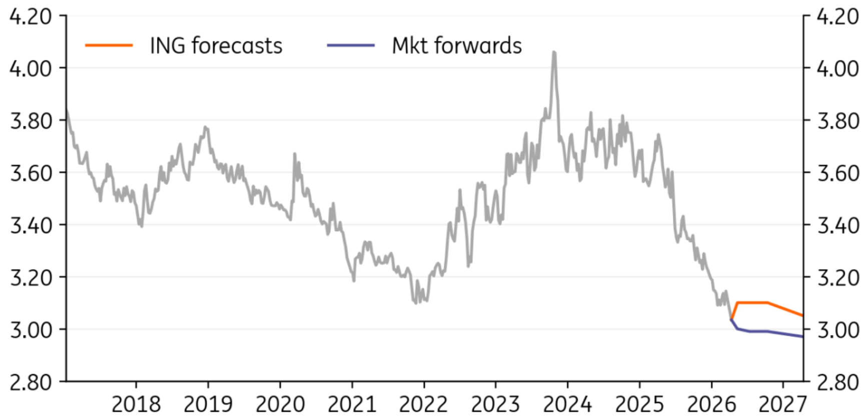
- So far, the Middle East energy shock has triggered a decent clean out of long South African positions. USD/ZAR rose 10% and local currency ten-year yields rose 150bp through March. However, global investors' 'glass half-full' approach to the global economy post this shock means the rand has been quick to bounce back.
- That said, South Africa's terms of trade have net declined on its rise in its energy import bill. And the IMF has cut its 2026 S. Africa GDP forecast to 1.0% from 1.4%. Equally, the local bond story is less attractive now that the South Africa Reserve Bank looks unable to cut rates further.
- We are raising our USD/ZAR profile slightly to take account of the energy shock – but the rand should see good demand on dips.



USD/ILS: BoI can't be comfortable with $/ILS sub 3.00

	Spot	One month bias	1M	3M	6M	12M
USD/ILS	2.9900	Mildly Bullish	3.10	3.10	3.10	3.05

- USD/ILS remains very well offered, so much so that the market is starting to price in a 50bp Bank of Israel rate cut for the 25 May meeting. It is not clear what the key factors are driving these ILS gains. Late last year, Israel's current account surplus had shrunk from $23bn per quarter to $8bn per quarter, which was not fully compensated by direct or portfolio investment flows.
- And the real, trade-weighted shekel is now at all-time highs and up 12% year-on-year. We doubt the Bank of Israel can be comfortable with the prospect of USD/ILS sub-3.00, even if Washington continues to discourage FX intervention.
- Favour USD/ILS holding 3.00 and local interest rates going lower.



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Latam FX Talking: The Brazilian real has fared well from the crisis

Of the Latam currencies we cover, the Brazilian real has the most scope to appreciate. A modest net energy exporter, 12% implied yields and perhaps now some political winds of change can all help BRL sustain a break below 5.00/USD. We suspect Banxico may find the peso too strong for its liking, while Chile's peso could be undone by copper later this year

We expect the Brazilian real to attract the most interest from international investors this year

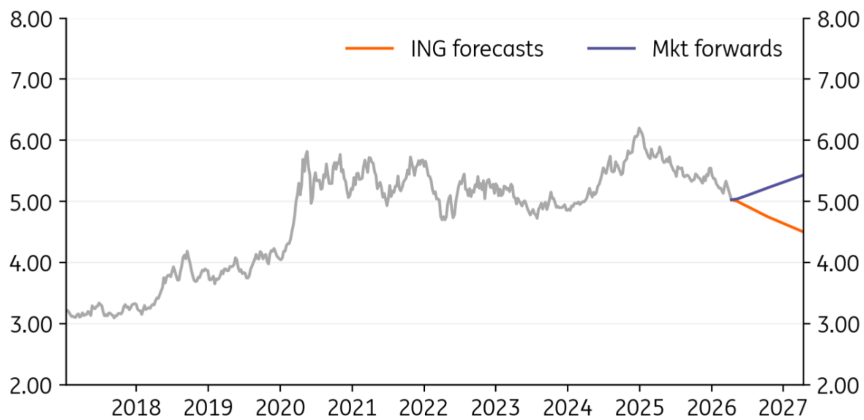
Main ING Latam FX Forecasts

	USD/BRL		USD/MXN		USD/CLP	
1M	5.00	↓	17.25	↓	875	↓
3M	4.90	↓	17.50	↑	875	↓
6M	4.75	↓	17.50	↓	900	↑
12M	4.50	↓	17.25	↓	950	↑

USD/BRL: BRL has room to rally if the pieces fall into place

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	5.00	Neutral	5.00	4.90	4.75	4.50

- Brazil has had a good crisis so far. As a net energy exporter, its terms of trade have actually risen – unlike the big drops seen for currencies in Europe and Asia. That leaves the Brazilian real as one of the market's favourite high yielders. Here the implied BRL yield through the three-month NDF remains near 13% pa.
- Further strength in BRL requires a further two components to go right. The first is the continuing improvement of Flavio Bolsonaro in the polls such that he beats President Lula in a run-off after October's election. The second is no fiscal adventure from Lula.
- For reference, on a real effective basis the BRL is still cheap and 40% below 2011 highs. 4.50 is entirely possible for USD/BRL.

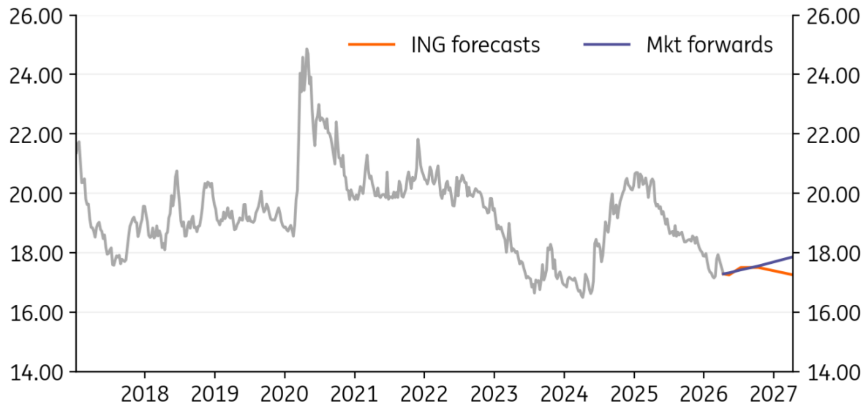


Source: Refinitiv, ING forecasts

USD/MXN: A much stronger peso won't be welcome

	Spot	One month bias	1M	3M	6M	12M
USD/MXN	17.2800	Neutral	17.25	17.50	17.50	17.25

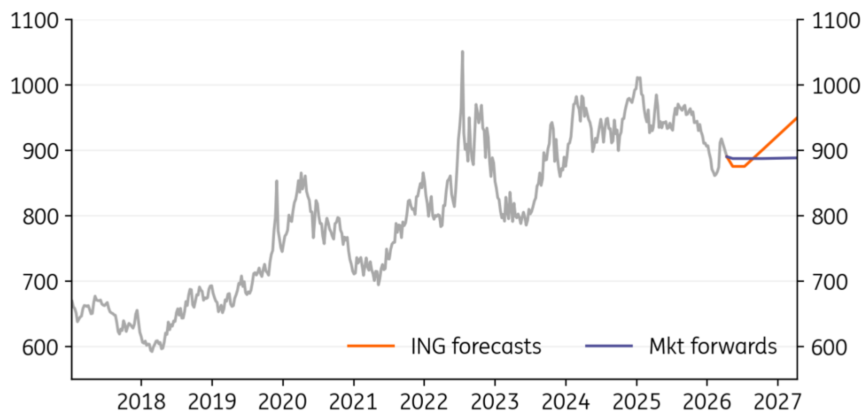
- In late March, Banxico cut rates 25bp to 6.75%. Even though both headline and core inflation forecasts were revised higher, Banxico still felt that the risk of second-round inflation effects was low and that it would still hit its 3% CPI target in early 2027. Its dovish bias is driven by forecasts for weak GDP growth sub 2%.
- But given a dovish outlook, Banxico will not welcome a stronger MXN. The real, trade-weighted peso is close to its 2024 highs, and the macro backdrop is far less peso bullish. Note also that monthly remittances from the US have dropped to $4.5bn per month from a peak of $6.2bn in 2024.
- We struggle to see USD/MXN sustaining a break of 17.00.



USD/CLP: Copper rebound helps out

	Spot	One month bias	1M	3M	6M	12M
USD/CLP	887.2500	Mildly Bearish	875.00	875.00	900.00	950.00

- De-escalation trades dominate, which have allowed both copper and CLP to rebound. However, we doubt USD/CLP will be pressing 850 again. Higher energy prices will damage Chile's external position and Chile's copper producers face challenges (and higher prices) of sulfuric acid used in the leaching process. China has banned sulfuric acid exports.
- As mentioned previously, we also think Chile's producers face more competition and lower copper prices as production restarts later this year in Malaysia. That could send copper to $11k/MT.
- While the external environment (including a softer $) can help EM this year, we think copper could send USD/CLP to 950 in late 2026



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Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies

With the world in flux, certainty is a rare commodity

Three scenarios for energy prices

	Length of disruption (% disruption to Strait of Hormuz flows)						Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
	Mar	Apr	May	Jun	Jul	Aug		Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	100	60	30	15	10	10	1138	96	93	88	28	55	45	45
Prolonged disruption 2	100	100	50	40	20	20	1754	110	102	100	38	74	60	60
Re-escalation 3	100	100	100	100	50	50	3635	135	150	120	58	90	75	80

Source: ING

Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US$150/bbl in the third quarter.

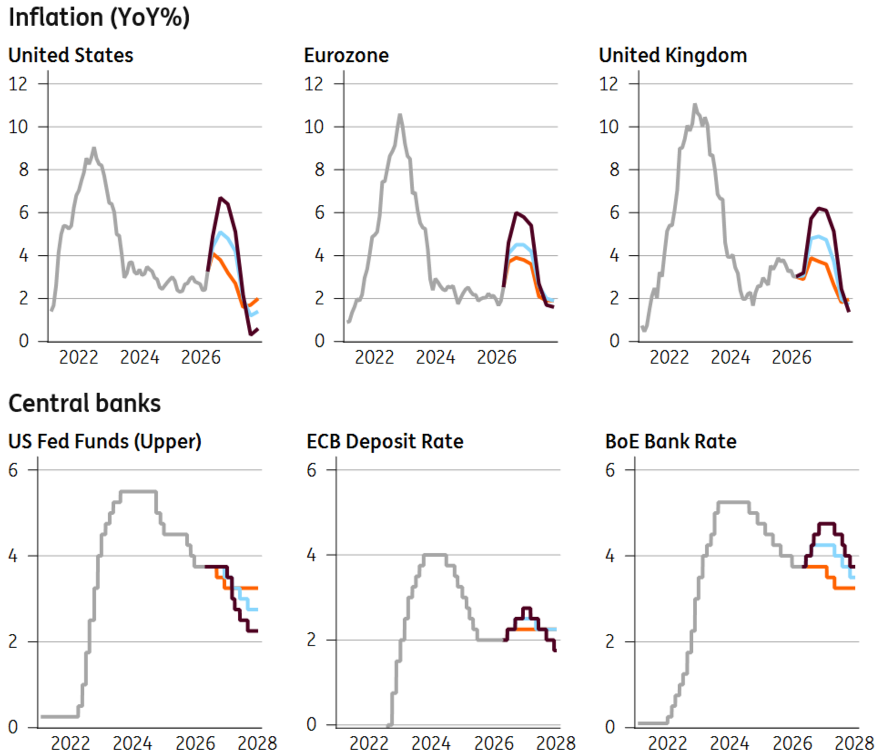
Central banks

Our new base case sees the European Central Bank hiking rates in June, though for now we think that’s a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we’re assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we’d expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

In contrast, we don’t expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn’t the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

Three scenarios for central banks and inflation



Source: Macrobond, ING

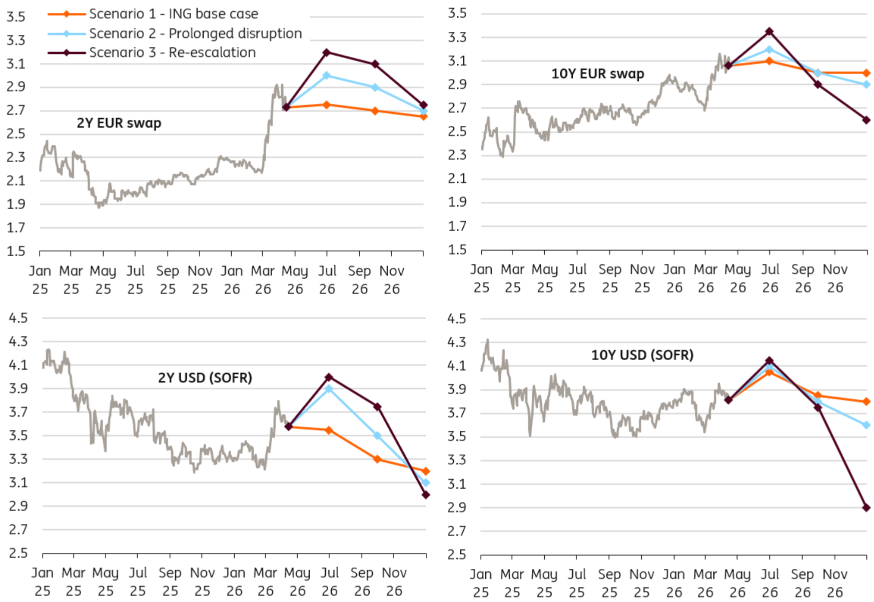
EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

Three scenarios for swap rates



Source: Macrobond, ING

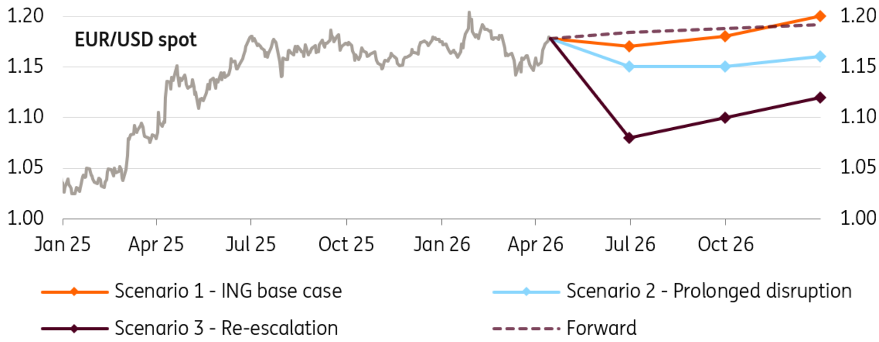
EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

Three scenarios for EUR/USD



Source: Refinitiv, ING

Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

In numbers: Our three scenarios

	1 Base case			2 Prolonged disruption			3 Re-escalation		
	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	96	93	88	110	102	100	135	150	120
Dutch TTF gas (EUR/MWh)	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	4.1	3.8	3.2	4.4	5.1	4.8	4.9	6.7	6.4
Eurozone Inflation (YoY%)	3.7	3.9	3.8	4.1	4.5	4.5	4.6	6.0	5.8
ECB Deposit Rate (%)	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.50	3.25	3.75	3.75	3.50	3.75	3.75	3.75
2Y EUR swap rate (%)	2.75	2.70	2.65	3.00	2.90	2.70	3.20	3.10	2.75
10Y EUR swap rate (%)	3.10	3.00	3.00	3.20	3.00	2.90	3.35	2.90	2.60
2Y USD swap rate (%)	3.55	3.30	3.20	3.90	3.50	3.10	4.00	3.75	3.00
10Y USD swap rate (%)	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.18	1.20	1.15	1.15	1.16	1.08	1.10	1.12

Source: ING

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‘Team Transitory’ holds for now in the States

US inflation is rising, but without the scale of the 2021-22 supply shock or the demand impetus that drove persistent inflation then. If tensions ease and oil prices fall in the second half of 2026, rate cuts remain more likely than hikes

Fed Chair, Jay Powell, at last month's press conference

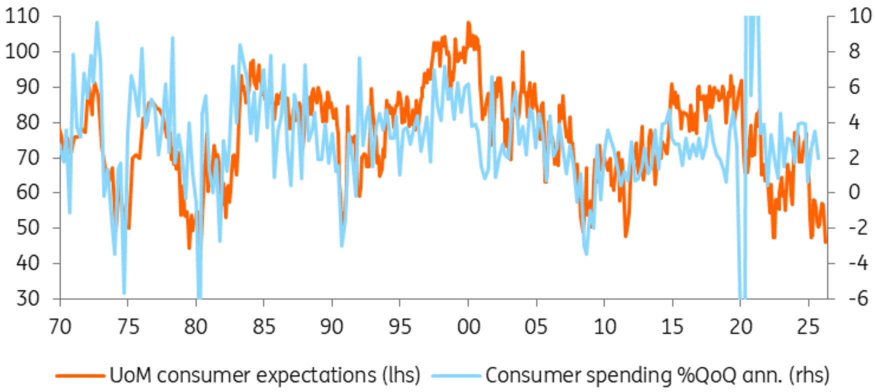
Inflation expectations remain tolerable

The Federal Reserve can’t do anything to ease the energy supply shock. Instead, its role is to ensure that inflation expectations remain contained and, for now, that seems to be the case. Long-term consumer inflation expectations are tolerable, being a full percentage point below the 4.4% figure hit in the wake of the 'Liberation Day' tariffs 12 months ago. Meanwhile, break-even inflation rates on Treasury Inflation-Protected Securities have not shifted to a worrying degree – the 2Y implied rate is at 2.9%, 5Y at 2.7% and 10Y at 2.4%. In January, the averages were 2.5%, 2.4% and 2.3% respectively. As such, the central bank, households, and financial markets appear to believe that inflation is likely to be transitory.

While we expect US headline inflation to soon breach 4% on higher motor fuel and airline fare costs, we certainly don’t think we are in for a repeat of 2022, when inflation got within touching distance of 10%, and the Fed had to hike the policy rate by 525bp. That is primarily because the supply shock is not as broad as the pandemic-related supply chain stresses in 2022, focused on motor and aviation fuel. At the same time, we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

US companies have not been able to pass on the $25bn per month cost of tariffs to consumers in a meaningful way, with core goods consumer prices rising little more than 1% year-on-year. This gives us reason to doubt they will be able to pass on higher energy and distribution costs outside of airline fares. Furthermore, US natural gas prices have been falling, suggesting that developments in the Middle East will be less impactful on US utility costs than in Asia and Europe.

Sentiment slump points to softer spending growth



Source: Macrobond, ING

High energy costs likely to be demand destructive

In terms of activity, the differences with 2022 are even starker. The economy added 4.5 million jobs in 2022, wage growth averaged nearly 6%, savings had been built up during the pandemic, we had stimulus checks and significant pent-up demand as people sought a return to their pre-Covid lifestyles. Today, the jobs market has stalled, wage growth is closer to 3%, confidence is at record lows, savings have been depleted, and real household disposable income is flat-lining. Even the tax refund story, which we had hoped would provide a near-term boost to spending power, is looking less supportive than predicted. After disappointing January and February consumer spending data, surging energy costs will eat into household spending power and risk being demand destructive, hence our downward revision to 2026 GDP growth to 2.2% from 2.5%.

It isn't all bad news. Net trade is making a positive contribution to growth while pipeline indicators for business investment remain strong, especially for tech-related business capital expenditure. Government spending should also provide a significant boost to first-quarter GDP growth after the October shutdown weighed heavily on fourth-quarter 2025 economic activity.

Dual mandate suggests rate cuts remain on the cards for late 2026

In terms of what this means for our call on Federal Reserve policy, we continue to believe interest rate cuts are more likely than hikes. With weaker consumer spending growth, core (excluding food and energy) price inflation is expected to be further dampened. In this regard, we need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further.

The Federal Reserve's dual mandate of price stability and maximising employment is a key distinguishing feature of the US. Having failed to create jobs in meaningful numbers over the past 18 months, when growth was strong, the risk is that we see weaker US jobs figures on the back of geopolitical, financial-market and economic angst. Remember, too, that the Fed still views the current stance of monetary policy as being very modestly restrictive. With a new Fed governor taking office and key elections this year, the political pressure for action will intensify.

As such, if we do see Middle East tensions ease and oil prices drop back in the second half of this year, there is a strong chance of sub-2% inflation being achieved in 2027. So, while the Fed is likely to sound relatively hawkish in the near term, we continue to see scope for two 25bp rate cuts towards the end of the year.

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Energy market outlook hinges on the Middle East

The key factor for energy markets remains developments in the Middle East. The only way energy prices move lower is the resumption of flows through the Strait of Hormuz. In the absence of this, prices will only move higher

Dated Brent crude oil prices hit $144.46 a barrel recently, an all-time high

Oil futures don't fully reflect the scale of supply disruptions

Oil flows through the Strait of Hormuz remain largely cut off, which continues to tighten the oil market. However, despite this significant tightening, the futures market appears to be responding more to headlines over how the war may evolve, with hopes that we could see a resolution in the coming weeks. However, we just need to look at the physical market to get a better idea of the reality of the supply disruption. Dated Brent has traded as high as $144/bbl recently and is trading at around a $30/bbl premium to Brent futures. Clearly, the longer supply disruptions persist, the more likely we will see futures needing to catch up with the physical market.

We estimate that around 13m b/d of oil flows from the Persian Gulf are being disrupted due to the Strait of Hormuz blockade. This is after taking into account pipeline diversions, Iranian tankers still moving through the Strait (although this could change with the recent US blockade), as well as some other tankers transiting this key chokepoint. While releases of government stocks and the drawing down of floating storage have helped the market, the shortfall is still significant. Therefore, there is a need for demand destruction. We are already seeing signs of this, particularly in parts of Asia, with several governments in the region announcing measures to reduce energy consumption. Clearly, the longer this persists, the more demand destruction we will need to see, and this will have to occur across other regions as well. To drive further demand destruction, we will need to see higher oil prices.

For now, our base case is that energy flows will start to make a gradual recovery through the second quarter. However, flows will remain below pre-war levels until at least year-end. This would see Brent averaging $96/bbl over 2Q26 and $89/bbl over the full year 2026. A more extreme scenario would be where Persian Gulf flows remain mostly cut off, while escalation sees extensive infrastructure damage, and risks to Red Sea oil flows also grow, which could see Brent trading over $150/bbl.

The LNG market continues to tighten

The global LNG market also continues to tighten with developments in the Persian Gulf, and the market is set to see supply disruptions persist for longer, even if we were to get a quick resumption of vessel movements through the Strait of Hormuz. Firstly, restarting Qatari LNG capacity will take some time, while 17% of Qatari LNG capacity will also be offline for the foreseeable future after an Iranian attack. As a result, we are seeing the Asian and European gas market increasingly pricing in a tighter market until 2027. A delay in the start of new Qatari capacity only adds to a tighter-than-expected outlook.

There is little in the way of supply alternatives for the market to offset the sizeable volumes we are seeing disrupted from the Persian Gulf. The ramp-up of new US LNG capacity is simply not enough. Therefore, demand destruction will be key to balancing the gas market. This will likely be evident in the power sector, where we expect the industry to lean more on coal, particularly in Asia. But even in Europe, it makes more sense to burn coal rather than gas, even when taking into consideration carbon prices.

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